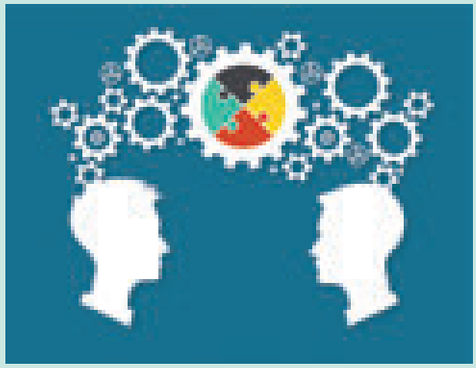
allowed to lapse. Verify that renewal fee has been charged to revenue expenditure.

AUDITOR'S DUTY IN VALUATION

1. Trademarks can be acquired like copyrights. The auditor should vouch the expenditure incurred in connection with their acquisition like registration fees, payments made to designer and artist, expenditure on account of salaries and overheads, attributable to the time spent in developing designs of trademark should be capitalised for arriving exact value of trademarks.
2. If the trademark has been acquired by assignment, vouch the amount paid for that with the assignment should be capitalised.
3. To judge the accurate value of trademarks the auditor should carefully note that proper distinction is made between capital and revenue expenditure. The incorrect allocation, which means the items of revenue expenditure are shown as capital expenditure or vice versa would falsify and distort the financial statements.

STUDENTS ACTIVITY



1. Visit a audit office and discuss with the auditor about stock verification.
2. Visit a centralized store of an industrial undertaking and have a discussion with the auditor and storekeeper about the stock verification.
3. Visit an audit office and discuss with the auditor about valuation of Debtors.
4. Arrange a meeting for the students along with an auditor for surprise visit to industrial units for checking of cash balance and cash at bank.
5. Have a group discussion on various aspects of valuation and verification on assets and liabilities.

SUMMARY

The present chapter discussed about verification and valuation of current assets and intangible assets. The proper verification and accurate valuation of these assets is a paramount importance to show true and fair view of the financial position of the business enterprises. If the correct valuation of asset is not done as per generally

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